

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.94 ▲ 13.04%	12M Price Target \$5.25	52-Week Range \$3.01 – \$9.39	Market Cap \$2.37B
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BBAI: Backlog Expansion, Panama Win Lift Shares; Reiterate Hold

WHAT'S CHANGED

- BBAI ripped +13.04% on 64.2M shares (5/28), the highest close in the recent window, following Zacks coverage (5/25) flagging backlog expansion and a Simply Wall St. note (5/22) on the first Panama cargo security deal as a potential international inflection point.
- Options flow turned aggressively bullish: P/C ratio of 0.11 with unusual call buying at the \$5.50 May/June strikes (25,405 + 10,853 contracts, 6.8x and 3.1x OI), signaling speculative positioning for continued upside breakout.

IMPLICATIONS

No new material overnight filings; the thesis is unchanged. Monitor price action and sector rotation for near-term entry signals.

VALUATION

See key data table.

KEY RISKS

- Customer concentration in US federal/DoD contracts; budget continuing resolutions or program cancellations could materially impair revenue.
- Persistent negative FCF and convertible note overhang raise dilution risk; any equity raise at current levels would pressure shares.
- Competitive encroachment from Palantir (Foundry/Gotham), Anduril, and Gorilla Technology in adjacent AI/defense verticals compresses win rates.

RECENT NEWS

- SERV's DoorDash Momentum Builds: Can It Lift Robot Productivity?** Zacks · 2026-05-28 14:57
- Palantir vs. BigBear.ai: Which AI Stock Is the Better Buy in 2026?** Motley Fool · 2026-05-26 20:29
- Gorilla Technology to Report Q1 Earnings: Key Estimates Here** Zacks · 2026-05-26 17:02
- BigBear.ai's Backlog Expands: Can Contract Wins Drive Revenue Growth?** Zacks · 2026-05-25 13:17
- Will First Panama Cargo Security Deal Mark a Turning Point in BigBear.ai's (BBAI) Global E...** Simply Wall St. · 2026-05-22 14:09

OPTIONS INTELLIGENCE

Put/Call Ratio	0.11
Call Vol / Put Vol	187,165 / 19,682
Flow Signal	BULLISH
Largest Unusual	CALL \$0.5 2026-06 (7.3x OI)

Langston's | Equity Research Coverage

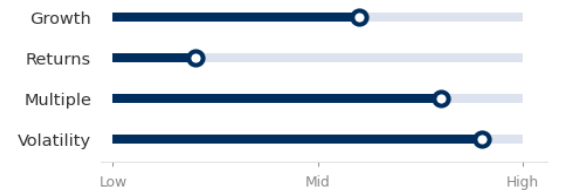
AI-Generated Pre-Market Brief | 2026-05-29 01:17 UTC

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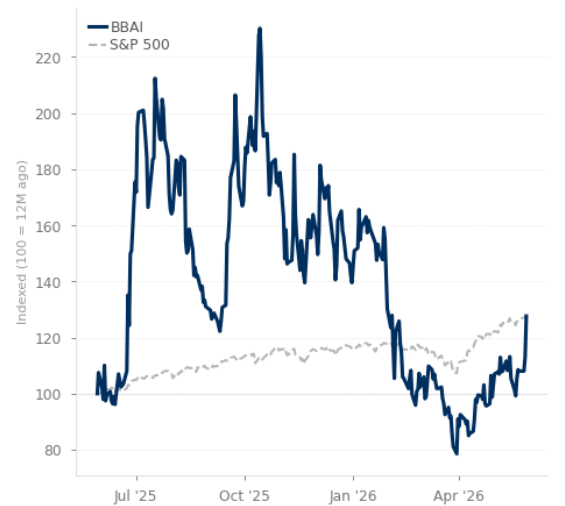
Key Data

Price (USD)	\$4.94
12M Price Target	\$5.25
Upside / (Downside)	+6.3%
Market Cap	\$2.37B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.21)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$6.00	\$5.00	\$3.90
6 Months	\$7.50	\$5.50	\$3.50
1 Year	\$9.00	\$5.25	\$3.00
2 Years	\$12.00	\$6.50	\$2.50
5 Years	\$20.00	\$9.00	\$1.75
10 Years	\$35.00	\$14.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+2.55% 5D), Consumer Discretionary (+3.49% 5D)

COLD SECTORS: Energy (-4.77% 5D), Consumer Staples (-1.27% 5D)

ROTATION WATCH: Defensive rotation into Healthcare alongside risk-on Discretionary suggests barbell positioning; defense-AI names like BBAI sit outside the primary rotation but benefit from idiosyncratic catalysts (contracts, geopolitical headlines).

BYPRODUCT PLAY: Border security and cargo screening tailwinds (Panama deal) create derivative opportunities in adjacent computer vision and biometric AI plays — watch GRRR (Gorilla Technology) Q1 print as a read-through on international government AI spend velocity.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Continues to dominate the AI-defense narrative with commercial AIP traction and GAAP profitability — the structural benchmark BBAI is measured against.
- GRRR (Gorilla Technology): Pre-Q1 print coverage indicates strong international government AI/smart city momentum, validating BBAI's international expansion logic.

BBAI CONTEXT: BBAI is lagging PLTR materially on a 1-year basis but the 5/28 +13% move suggests early signs of catch-up trade as retail/options flow rotates down-cap within the AI-defense theme. Relative performance remains weak — BBAI at 30% of 52-week range vs. PLTR near highs underscores it is a beta/momentum proxy, not a leader.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$3.80-4.20 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Backlog contraction, loss of DoD/DHS contracts, or dilutive equity raise >10%

Hedging: Pair long BBAI with short PLTR or sector ETF (ITA)